

HOW TO INVEST IN MUTUAL FUNDS

Are You Ready to invest ?

- Do you have a stable income?
- Do you have an emergency fund set up?
- Have you cleared all high-interest loans?
- Are you and family insured?
- Do you want to reach long-term goals & financial freedom?

How to Create Your Mutual Funds Portfolio?

1. Define your goals (what, how much, when)
2. Understand your risk profile
3. Decide your asset class mix (equity/debt/gold %)
4. Know the expected returns for each mix
5. Choose the best mutual funds

What is a Portfolio?

A collection of different investments you own together

Each fund serves a different purpose - An equity fund for growth. A debt fund for stability. Gold for protection.

Together, they make a complete, balanced portfolio.

A good portfolio is built around YOUR goals, YOUR risk appetite, and YOUR time horizon - not someone else's recommendation.

Step 1: Define Your Goals

For each goal, write down:

What is the goal? (Retirement, child's education, house, travel)

How much money do you need? (In today's value)

When do you need it? (Timeline in years)

What is the inflation-adjusted target?

Step 2: Know Your Risk Profile

Two questions to ask yourself:

1. Can I emotionally handle seeing my investment drop 30-50%?
2. Does my life situation actually allow me to take risk right now?

Conservative	Moderate	Aggressive
Safety first Minimal ups & downs Prefers stability	Balanced approach Some risk is okay Medium-term goals	Long-term mindset Can handle big drops Max growth focus

Step 3: Decide Your Asset Class Mix

Short-term (< 3 years)	Medium-term (3-7 years)	Long-term (7+ years)
Heavy Debt Small Gold Minimal Equity	Balanced mix Debt + Equity + Gold	Max Equity Some Gold Small Debt

Step 4: Know Expected Returns

Conservative historical return estimates:

Asset Class	Expected CAGR
Equity (Mutual Funds)	10 - 14%
Debt (FDs, Debt MFs)	6 - 7%
Gold	8 - 11%

Always plan with the lower end of the range.

Under-promise, over-deliver.

Step 5: Choose Mutual Funds

Asset Class	Mutual Funds Available
Equity	Large Cap Funds, Mid Cap Funds, Small Cap Funds, Flexi Cap Funds, Index Funds (Nifty 50, Nifty Next 50)
Debt	Liquid Funds, Short Duration Funds, Corporate Bond Funds, Gilt Funds, Money Market Funds
Gold	Gold Mutual Funds (Fund of Funds)

SIP Amount calculator

Use this free SIP calculator sheet to easily plan your investments and find out your exact monthly SIP amount: 

<https://docs.google.com/spreadsheets/d/1CBO2P7lj8Yia7OYoQRJSP3lWWcw9EQwA9yQSHhDyXZ4/edit?gid=0#gid=0>

This file is a **Google Sheet**. To calculate your own monthly SIP amount, you need to make your own copy first:

1. Click on **File** in the top left corner.
2. Select **Make a copy**.
3. Save it to your own Google Drive to get full editing access!

How to fill the data

Step 1: Take your goal amount (in today's value)

Step 2: Adjust for inflation at 6% per year

Step 3: Use your expected returns from the portfolio

Step 4: Calculate monthly SIP needed

Example:

Goal: Child's education in 10 years, need Rs.20 Lakh today

After 6% inflation for 10 years: Rs.35.8 Lakh needed

At 12% expected portfolio return:

Monthly SIP needed: approximately Rs.15,500

Asset Class Allocation - Quick Reference

Time Horizon	Risk Profile	Equity %	Debt %	Gold %	Expected Return
< 1 year	Any	0%	90%	10%	~7%
1-3 years	Conservative	10%	80%	10%	~8%
1-3 years	Moderate	20%	70%	10%	~9%
3-5 years	Conservative	30%	60%	10%	~9.5%
3-5 years	Moderate	40%	50%	10%	~10%
3-5 years	Aggressive	50%	40%	10%	~10.5%
5-7 years	Conservative	50%	40%	10%	~10.5%
5-7 years	Moderate	60%	30%	10%	~11%
5-7 years	Aggressive	80%	10%	10%	~11.5%
7+ years	Conservative	60%	30%	10%	~11%
7+ years	Moderate	80%	10%	10%	~11.5%
7+ years	Aggressive	90%	0%	10%	~12%

How to Read This Table

Example:

"I want to invest for my child's education in 7+ years. I can handle moderate risk."

Look up: 7+ years + Moderate

Your portfolio should be: 80% Equity | 10% Debt | 10% Gold

Types of Equity Mutual Funds

Large Cap Fund

India's top 100 companies.
Most stable equity category.
Steady, reliable growth.
Ideal as the CORE holding.

Flexi Cap Fund

Manager picks freely across
large, mid, small companies.
Flexible and diversified.
Actively managed.

Mid Cap Fund

Medium-sized companies.
Higher growth potential.
More volatile than large cap.
Needs 5+ year holding.

Small Cap Fund

Small companies with high
growth potential. Most
volatile.
Can fall 50%+ in crashes.
Needs 7+ year holding.

Large Cap is the foundation of your equity portfolio.

As risk appetite and time horizon increase, we add Flexi Cap, Mid Cap, and then Small Cap.

Equity Breakdown - How to Split Your Equity

Total Equity %	Large Cap	Flexi Cap	Mid Cap	Small Cap
10%	10%	0%	0%	0%
20%	20%	0%	0%	0%
30%	20%	10%	0%	0%
40%	20%	10%	10%	0%
50%	20%	10%	10%	10%
60%	20%	20%	10%	10%
70%	20%	20%	20%	10%
80%	20%	20%	20%	20%
90%	30%	20%	20%	20%

Large Cap always has the highest or equal allocation - it's the stable core.

As equity increases, Flexi Cap, Mid Cap, and Small Cap get added step by step.

The Master Table - Your Complete Portfolio

This is your portfolio blueprint.

Time Horizon	Risk Profile	Large Cap	Flexi Cap	Mid Cap	Small Cap	Debt	Gold	Exp. Return
1-3 yrs	Conservative	10%	0%	0%	0%	80%	10%	~8%
1-3 yrs	Moderate	20%	0%	0%	0%	70%	10%	~9%
3-5 yrs	Conservative	20%	10%	0%	0%	60%	10%	~9.5%
3-5 yrs	Moderate	20%	10%	10%	0%	50%	10%	~10%
3-5 yrs	Aggressive	20%	10%	10%	10%	40%	10%	~10.5%
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7+ yrs	Conservative	20%	20%	10%	10%	30%	10%	~11%
7+ yrs	Moderate	20%	20%	20%	20%	10%	10%	~11.5%
7+ yrs	Aggressive	30%	20%	20%	20%	0%	10%	~12%

Maximum 6 funds in your portfolio. That's it. Simple and complete.

How to Pick the Best Mutual Fund?

There are 100+ mutual funds in each category. How do you choose the best?

Direct vs. Regular Plan

- **Direct Plan:** You buy directly from the mutual fund house. **Zero commission** goes to brokers. Lower expense ratio = **Higher returns for you.**
- **Regular Plan:** You buy through a broker or agent. A **hidden commission** is paid to them every year from your money. Higher expense ratio = **Lower returns for you.**

The Rule: Always choose **Direct Plans** to keep 100% of your profits.

- **How Big Is the Impact? (Real Example)**

Imagine you invest **₹10,000 every month** for **20 years**, earning a 12% average annual return.

- **Regular Plan:** The broker takes a 1% commission every year. Your total wealth grows to **~₹81.5 Lakhs**.
- **Direct Plan:** No broker commission. Your total wealth grows to **~₹92 Lakhs**.

The Impact: Choosing a Regular plan costs you **₹10.5 Lakhs** in hidden commissions paid straight out of your pocket to a broker.

Growth vs. Dividend (IDCW) Option

- **Growth Option:** All profits are automatically re-invested back into the fund. Your money grows faster over time due to the **power of compounding**.
- **Dividend Option (IDCW):** The fund occasionally payouts a portion of the profits to your bank account as cash. This stops compounding and lowers your fund's value (NAV).

The Rule: Choose **Growth** for long-term wealth creation. Choose **Dividend** only if you need regular monthly pocket money.

What Makes a Good Mutual Fund?

For equity funds

1. **Risk-Adjusted Returns**
 - **Sharpe & Sortino:** High ratios = smooth growth > wild swings.
2. **Consistency**
 - **Alpha:** High positive Alpha = regularly beats the index.
3. **Downside Protection**
 - **Standard Deviation & Beta:** Low numbers = crashes less than the market.
4. **Low Cost**
 - **Expense Ratio:** Lower fees = more profit for you.
5. **Right Fund Size**
 - **AUM:** Strong asset pool = safe liquidity and steady management.

For Gold Funds

- **Smooth Tracking:** Moves smoothly with international gold growth.
- **Perfect Price Match:** How closely it tracks real physical gold prices.
- **Lowest Cost:** Lowest expense ratio wins.
- **Easy Liquidity:** Larger fund size = better cash-out.

For Debt Funds

- **Steady Income:** Smooth interest payout > sudden value drops.
- **Smart Manager:** Catches better returns than the market index.
- **Rate Protection:** Safe from sudden government interest rate changes.
- **Low Cost:** Lowest fees = crucial because debt returns are smaller.
- **Big Pool:** Large fund size = safe when big investors withdraw cash.

The Easy Way: Use AI

We've built a ready-made AI prompt called "Fund Finder" that does everything we just discussed - automatically.

How it works:

1. Go to claude.ai (free to use)
2. Paste the Fund Finder prompt
3. It asks: Equity, Debt, or Gold?
4. Select your category (e.g., Flexi Cap)
5. It analyzes all funds using the methodology we just learned
6. Gives you the Top 3 funds with full reasoning

Run it once for each fund category in your portfolio.

Disclaimer: This is an educational tool, not SEBI-registered advice. Always do your own research.

How to Start investing

- 1. Download any popular broker app**
- 2. Complete KYC with Aadhaar + PAN (10 minutes)**
- 3. Search for your chosen funds**
- 4. Select "Setup SIP" - pick a date 1 day after salary day**
- 5. Set up bank mandate (auto-debit permission)**
- 6. Done. Let it run. Don't touch it.**

Can't Afford the Full Amount?

Three options, in this order:

1. Start with what you can. Increase SIP as income grows.
This is the BEST option. Starting matters more than the amount.
2. Cut unnecessary expenses to free up more money.
3. Only as a last resort - reduce the goal or extend the timeline.

Starting with Rs.2,000 today is infinitely better than planning to start with Rs.20,000 "next year".

After Investing: The Rules

Don't Do This

- Check portfolio daily
- Panic when market dips
- Keep switching funds
- Compare with friends' returns

Do This Instead

- Just ensure SIP runs each month
- Review once a year
- Step up SIP when income rises
- Rebalance if allocation drifts

THANK YOU